Sanofi India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Indian listed arm of Sanofi. It sells insulin brands (Lantus, Toujeo and the newer Soliqua) to doctors and the public sector in India, supplies its older heart, brain and oral diabetes brands to partners Emcure and Cipla who sell them, and exports medicines made at its Goa plant. Its year ends in December.

Number	Value	What it means
Market cap	Rs 7,620 cr	What the market values the whole company at.
Sales, CY2025	Rs 1,837 cr	Down about a tenth on 2024, after exports fell and older brands moved to partners.
Net profit, CY2025	Rs 327 cr	Down from Rs 414 cr in 2024; 2024 also had larger other income.
Sep 2026 quarter sales	Rs 492 cr	Up about 3% on the same quarter last year: barely growing.
Sep 2026 quarter operating margin	33%	Up from 28% a year ago and the highest in the 13 quarters on Screener: costs fell faster than sales.
Sep 2026 quarter net profit	Rs 117 cr	Up from Rs 76 cr a year ago, helped by the higher margin and no repeat of last year's negative other income.
Debt	Negligible (interest Rs 1-2 cr a year)	No borrowing to speak of; the company sits on cash and paid out most of its 2025 profit as dividend.
Promoter holding	60.4%	Unchanged for three years.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 CY22	Feb 2023	Yes (skimmed)
Q1 CY23	May 2023	Yes (skimmed)
Q3 CY23	Nov 2023	Yes (skimmed)
Q4 CY23	Feb 2024	Yes (skimmed)
Q1 CY24	May 2024	Yes (skimmed)
Q3 CY25	Nov 2025	Yes, read in full
Q4 CY25	5 Mar 2026	Yes, read in full
Q2 CY26 (Jun 2026 quarter)	5 Aug 2026	Yes, read in full
Q3 CY26 (Sep 2026 quarter)	-	No call listed on Screener yet

Eight transcripts spanning nearly four years, with gaps: none listed between May 2024 and Nov 2025, and none for the March 2026 quarter. The newest call read covers the June 2026 quarter; the September 2026 quarter numbers come from Screener's results table only.

Latest concall highlights: June 2026 quarter (call 5 Aug 2026)

- Diabetes sales grew about 14% in the quarter and 17% in the first half, driven by Toujeo and Soliqua and by new public-sector accounts (CGHS, ESI, railways, army, state contracts). The MD cited close to 70% growth in the public sector.
- Profit before tax and exceptional items rose 19% to Rs 112 cr; it was 27% of net sales against 24% a year earlier. Operating costs fell 5% in the quarter and 15% in the half, and the CFO said 'this will be the trend'.
- The partnership business (older brands sold by Emcure and Cipla) grew only 2%. The CFO said he does not expect it to reach industry growth in 2026; 2027 is being evaluated.

- Exports fell 2%. Losses in Australia, where mature products face heavy competition, are being offset with France, Italy, Turkey and Russia, plus a hoped-for South Africa tender and pulling products back from contract makers into Goa.
- No new product launches are planned for 2026. On payouts, the CFO expects the dividend to be at least last year's level. An analyst wished the CFO well 'for your next venture'; the call did not say more about it.

Business mix & capacity

Domestic vs export: Exports were about 12-13% of total sales (Nov 2025 call), so close to nine-tenths of sales are in India. Domestic sales are roughly half diabetes and half partnership brands (Mar 2026 call).

Capacity use: Goa plant utilisation not disclosed. Management is trying to add volume at Goa by making certain products there for Sanofi worldwide and by moving work back from outside contract makers.

3. Earning Trigger thesis

Management's story is that Sanofi India is now a focused insulin company. It handed its older brands to Emcure (heart, oral diabetes) and Cipla (brain), cut costs, and is pushing Toujeo and Soliqua into private and public-sector diabetes care. The diabetes part is growing in double digits and costs are falling, which has lifted margins. The catch is that the other half of domestic sales, the partnership brands, is barely growing, and exports keep slipping, so total sales have hardly moved.

Trigger	What management said	Evidence so far	Time horizon	Strength
Diabetes insulin (Toujeo, Soliqua, Lantus)	'2026 marks a year of acceleration for diabetes business unit' (Aug 2026)	About 11% growth in Q4 CY25, about 14% in Q2 CY26, 17% in H1 CY26	Ongoing	Moderate: two good quarters, but no new launches in 2026 and a new once-weekly rival insulin from Novo
Cost cutting after the transformation	Opex fell 17% in 2025; 'this will be the trend' (Aug 2026)	Operating margin up to 33% in the Sep 2026 quarter	Ongoing	Strong for margins; cost cuts can't repeat forever
Partnership brands with Emcure and Cipla	'by end of 2026, we will stabilize this partnership' (Mar 2026)	Only 2% growth in Q2 CY26; CFO doesn't expect industry growth in 2026	2027	Weak so far
Export recovery from Goa	New markets Russia, South Africa; Goa as a global site for some products	Exports still down; 'we will not cover 100% of what was lost' (Nov 2025)	Unclear	Weak; small part of profit anyway (about 8% of PBT, Nov 2025)

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed; the company has no debt.
New business	Yes	Expanding Toujeo and Soliqua into public-sector accounts: 'Soliqua in public sector will be new and also Toujeo expansion in public sector will be new for us' (Mar 2026).
Margin up	Yes	Profit before tax 27% of net sales vs 24% a year earlier; opex down 15% in H1 and 'this will be the trend' (Aug 2026).
New management	No	No new CEO, MD or CFO announced on the calls read.
New capacity	No	No plant or line additions mentioned.
Big orders	No	Only a pending South Africa tender mentioned (Aug 2026); no order book.
Turnaround	No	Calls describe 2025 as a 'year of transformation', but profit never turned from loss.
	No	Promoter stake unchanged; buyback 'not in the strategy' (Aug 2026).

Trigger type	Yes/ No	What was said (date)
Promoter buying		

The single concrete driver: Double-digit growth in the Toujeo and Soliqua insulins, helped by new public-sector accounts, on a much smaller cost base after the restructuring.

3c. Margin bridge

Operating margin was 33% in the Sep 2026 quarter against 28% a year earlier. The calls credit lower employee and other operating costs after the restructuring and the hand-over of older brands to partners, plus faster-growing diabetes sales; exports, which earn less, are shrinking. Management says the cost trend will continue (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2023 - Feb 2024	Study partnerships to reach Tier 2/3 towns; launch Soliqua in early 2024	Emcure and Cipla partnerships signed in early 2024; Soliqua launched May 2024	Delivered
Nov 2025	Transformation will deliver growth and margin expansion; partnerships growing 'as per expectation'	Margins rose; partnership sales fell 2% for 2025 on stock movements	Partly
Nov 2025	Offset lost Zentiva export volume with Russia, South Africa and Goa specialisation, though not fully	Exports still falling in 2026, partly offset	Partly
Mar 2026	Partnership to stabilise by end of 2026; diabetes to keep double-digit growth	Diabetes up about 14% in Q2 CY26; partnership only +2% and CFO no longer expects industry growth in 2026	Partly
Mar 2026	No new products in 2026	None launched	Delivered
Aug 2026	Keep diabetes growth going in the second half; opex trend continues	Sep 2026 quarter: sales +3%, margin 33% (no call yet)	Too-early

Narrative drift: The story has been steady since 2024: focus on insulin, hand older brands to partners, cut costs. What has drifted is the timing on the partnership brands. In March 2026 they were to stabilise by year-end; by August the CFO pushed hopes of industry-level growth to 2027. Management gives no formal guidance and keeps explaining weak quarters with one-off stock movements, which analysts on the calls have pushed back on.

5. Bottom line

Durable earning trigger? → MAYBE

There is a named driver, double-digit insulin growth on a leaner cost base, and it is showing in margins and profit. But it covers only about half of domestic sales. With partnership brands flat, exports shrinking and no launches this year, total sales are barely growing, so the earnings lift so far is mostly cost cuts.

Management consistent? → MAYBE

Management delivered what it controls: the partnerships were signed, Soliqua launched, costs cut and diabetes growth came through as promised. It has repeatedly missed on the partnership brands and exports, and the 'stabilise by end of 2026' line has already slipped to 2027.

6. Checkpoints for next quarter

- Diabetes sales keep growing in double digits
- Partnership brand sales grow faster than the June quarter's 2%
- Operating margin holds near the Sep 2026 quarter's level

This is not investment advice. Do your own due diligence.